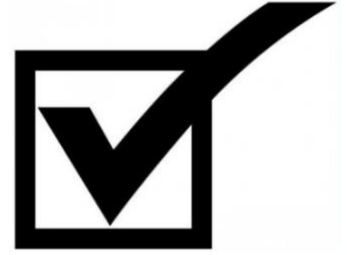




**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



FUNDAMENTAL ACCOUNTING (100)

STATE 2022

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Account Identification (15 @ 3 points each) _____ (45 points)

Short Answer (17 @ 3 points each) _____ (51 points)

Job 1 – Financial Analysis (4 points each) _____ (32 points)

Job 2 – Analyzing Merchandising Transactions _____ (45 points)

Job 3 – Depreciation _____ (30 points)

TOTAL POINTS _____ ***(263 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice – 2 points each; 60 points total

1.	C	16.	C
2.	C	17.	C
3.	A	18.	D
4.	B	19.	A
5.	B	20.	A
6.	C	21.	B
7.	D	22.	D
8.	D	23.	B
9.	B	24.	D
10.	D	25.	C
11.	C	26.	C
12.	C	27.	D
13.	A	28.	A
14.	B	29.	A
15.	D	30.	B

Account Identification – 1 point each, 45 points total

Account Name	Classification	Normal Balance	Financial Statements
Allowance for Doubtful Accts.	A	Cr	BS
Rental Revenue	R	Cr	IS
Land	A	Dr	BS
Uncollectible Accounts Exp	E	Dr	IS
Social Security Tax Payable	L	Cr	BS
Dividends	SE	Dr	SOSE or SOSE & BS
Income Summary	SE	N	N
Insurance Expense	E	Dr	IS
Retained Earnings	SE	Cr	SOSE & BS
Sales Discount	R	Dr	IS
Purchases	C	Dr	IS
Merchandise Inventory	A	Dr	BS
Unearned Rent	L	Cr	BS
Prepaid Rent	A	Dr	BS
Salary Expense	E	Dr	IS

Short Answer Problems – 3 points each, 51 total points

1. a. 26,401.20
 b. 26,940.00
2. a. 11,760.00
 b. 1,890.00
 c. 729.12
 d. 170.52
 e. 8,970.36
3. a. 61,770
 b. 52,480
 c. 45.9%
 d. 21,020
4. a. 250,000
 b. 50,000
 c. 174,200
 d. 424,200
5. a. 5,825.47
 b. July 16

Job 1 – Financial Ratios – 4 points each, 32 points total

- a. 117,980
- b. 10.3%
- c. 8.8%
- d. 63,410
- e. 1.8 or 1.79
- f. 32.2%
- g. 47.6%
- h. 1.47

Job 2 – Analyzing Merchandise Transactions Using Special Journals – 1 point each, 45 points total; Note to graders – if more than one account number shown, all must be included to be correct.

	Journal	Debit	Credit
1.	CP	160	110
2.	CP	610	110
3.	P	510	210
4.	CR	110	410, 230
5.	S	120	410
6.	G	430	120
7.	CR	110, 420	120
8.	CP	210	110, 520
9.	G	130	120
10.	CP	150	110
11.	CR	110, 120	410, 230
12.	CP	230	110
13.	CR	110	130, 440
14.	G	320	510
15.	G	140	330

Job 3 – Depreciation Tables – 1 point each, 30 points total

	Asset 1			Asset 2		
	Annual Depreciation	Accumulated Depreciation	Ending Book Value	Annual Depreciation	Accumulated Depreciation	Ending Book Value
2022	3,600	3,600	18,400	3,000	3,000	15,000
2023	3,600	7,200	14,800	4,000	7,000	11,000
2024	3,600	10,800	11,200	4,000	11,000	7,000
2025	3,600	14,400	7,600	4,000	15,000	3,000
2026	3,600	18,000	4,000	1,000	16,000	2,000